

Part IV

The AI Strategy Evolution Framework (AISE)

"Frameworks do not replace strategic thinking. They discipline strategic thinking."

Introduction

The central premise of this course is that artificial intelligence does not invalidate classical strategic management. Instead, AI changes the environment in which strategic management operates and therefore requires many established theories to be reinterpreted.

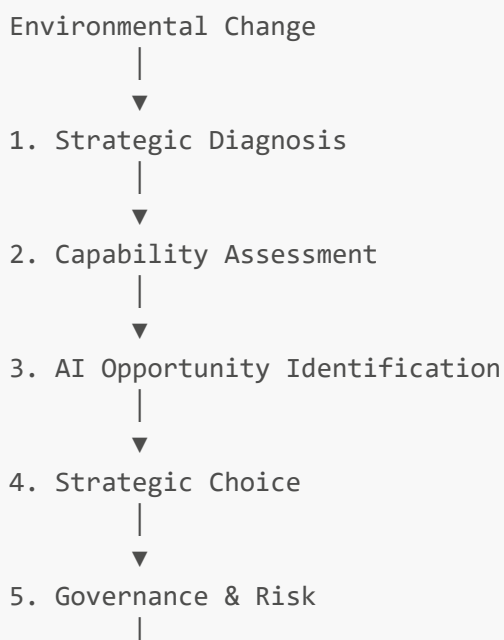
To help students integrate these perspectives, this course introduces the **AI Strategy Evolution Framework (AISE)**.

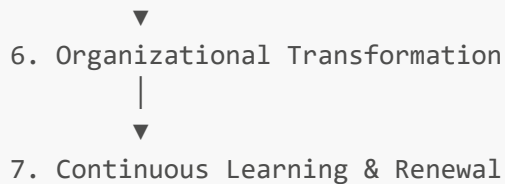
The AISE Framework provides a systematic process for evaluating how artificial intelligence influences strategic decision making, organizational capabilities, competitive advantage, governance, and long-term organizational performance.

Rather than treating strategic frameworks as isolated tools, AISE integrates them into a single executive decision-making process that students will apply throughout the semester.

The framework serves as the organizing structure for every lecture, Harvard Business School case, AI laboratory, consulting milestone, and final executive presentation.

The AISE Framework





Stage 1 — Strategic Diagnosis

Central Question

What strategic problem should the organization solve?

Students begin by evaluating the external environment using classical strategic management tools including:

- Industry analysis
- Competitive positioning
- Customer value proposition
- Market trends
- Technology disruption
- Stakeholder analysis
- Macroenvironmental scanning

Artificial intelligence is examined as an external force reshaping industry structure and competitive dynamics.

Stage 2 — Capability Assessment

Central Question

What strategic capabilities does the organization possess?

Students evaluate:

- Resources
- Core competencies
- Organizational capabilities
- Knowledge assets
- Data maturity
- AI readiness
- Leadership capability
- Organizational culture

This stage integrates the Resource-Based View, Dynamic Capabilities, and Knowledge-Based Theory of the Firm.

Stage 3 — AI Opportunity Identification

Central Question

Where can AI create strategic value?

Students identify opportunities for AI to:

- Improve decision making
- Enhance customer experience
- Increase operational efficiency
- Accelerate innovation
- Create new products and services
- Develop platform ecosystems
- Enable new business models

The emphasis is on strategic value creation rather than technology adoption.

Stage 4 — Strategic Choice

Central Question

What strategic alternative creates the greatest long-term value?

Students evaluate competing strategic options while considering:

- Competitive advantage
 - Differentiation
 - Cost leadership
 - Ecosystem participation
 - Platform strategy
 - Investment priorities
 - Strategic fit
 - Organizational feasibility
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Stage 5 — Governance & Risk

Central Question

How should AI be governed responsibly?

Students examine:

- Responsible AI
- Ethics
- Privacy

- Security
- Regulation
- Intellectual property
- Human oversight
- Board governance
- Enterprise risk management

Strategic success depends not only on innovation but also on responsible implementation.

Stage 6 — Organizational Transformation

Central Question

How should the organization change?

Students design implementation strategies addressing:

- Leadership
 - Organizational structure
 - Talent
 - Change management
 - AI operating model
 - Cross-functional coordination
 - Performance measurement
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Stage 7 — Continuous Learning & Renewal

Central Question

How will the organization sustain competitive advantage?

Students evaluate:

- Organizational learning
- Dynamic capabilities
- Continuous experimentation
- AI model improvement
- Strategic adaptation
- Innovation portfolios
- Long-term renewal

This stage reinforces the principle that strategy is an ongoing process rather than a one-time plan.

Applying AISE Throughout the Course

Every major learning activity in the course follows the AISE Framework.

Course Component	AISE Application
Weekly Readings	Evaluate how each theory contributes to one or more AISE stages.
Theory Evolution Exercise	Explain how AI modifies the strategic assumptions within the relevant AISE stage.
Harvard Business School Cases	Diagnose the organization's challenges using all seven stages.
AI Laboratories	Apply AI tools to support analysis at each stage of the framework.
Consulting Project	Develop a complete AI strategy organized around the seven AISE stages.
Executive Board Presentation	Present recommendations using the AISE Framework as the organizing structure.

Theory Evolution Exercise

At the conclusion of each weekly module, students complete a brief written exercise entitled **"Rewriting Strategy for the AI Era."**

Students respond to the prompt:

If I were rewriting this classical theory in 2026, I would...

Each reflection should:

1. Summarize the classical theory.
2. Identify its underlying assumptions.
3. Explain how AI reinforces or challenges those assumptions.
4. Propose theoretical revisions.
5. Discuss managerial implications.

Across ten weeks, these reflections become the intellectual foundation for the student's final synthesis paper:

Toward a Theory of Strategic Management in the Age of Artificial Intelligence

The purpose of this assignment is not simply to learn existing theory but to cultivate the ability to extend theory thoughtfully, critically, and responsibly.

Concluding Perspective

The AISE Framework is not intended to replace classical strategic management frameworks. Instead, it provides an integrative structure that helps students connect diverse theories, evaluate contemporary AI research, and apply both to real organizational challenges.

Throughout the semester, students repeatedly return to the AISE Framework as they analyze organizations, debate strategic alternatives, complete AI laboratories, and develop consulting recommendations. By the end of the course, AISE serves not merely as a classroom tool but as a practical framework for strategic thinking in organizations navigating the opportunities and challenges of artificial intelligence.